



Double digit growth is here to stay

Results were below estimates mainly due to weaker growth in HPC and slowdown in rural growth

- Revenue: grew by 7.7% YoY to Rs 25,178mn (QoQ -14.4%). India Business volume growth stood at 2%.
- EBITDA: grew 2.5% YoY to Rs 4,535mn (QoQ -27.7%)
- EBITDA Margins at 18.01% (Vs 18.93% YoY) (Vs 21.3% QoQ)
- PAT was down by 22% to Rs 2,943 Mn (tax rate stood at 24.5% Vs 16.5% YoY & 22.4% QoQ)
- Gross margins reduced on a QoQ basis by 90 bps

Expenses

- RM to Revenue stood at 52.56% v/s 51.26% YoY (QoQ 51.66%)
- A&P spends to Revenue: stood at 6% v/s 6.6% YoY and 8.1% QoQ
- Other expenses to Revenue: stood 12.4% v/s 11.7% YoY (QoQ 9.7%)
- Employee Cost to Revenue stood 11.1% v/s 11.5% YoY (QoQ 9.3%)

Outlook:

- Weak performance due to slower growth in Home & Personal Care segment and inflationary pressures
- Rural business has witnessed slowdown on account cutback of promo offers and down-trade to smaller value packs
- Price hikes to be taken in the next 2 quarters to control RM price pressures.

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22E	FY23E	FY24E
Netsales	87,036	95,617	108,887	118,272	130,099
growth (%)	2.0	9.9	13.9	8.6	10.0
EBITDA Margins	20.6	20.9	20.7	20.9	21.5
Adjusted net profit	15,288	16,933	18,045	18,826	21,777
EPS (Rs)	8.7	9.6	10.2	10.6	12.3
growth (%)	1.5	10.7	6.5	4.3	15.7
P/E (x)	59.5	53.8	50.5	48.4	41.8
P/B (x)	13.8	11.9	10.9	9.6	8.4
RoCE (%)	26.5	25.5	25.4	24.0	24.6
RoE (%)	23.1	22.1	21.5	19.8	20.1
Dividend yield (%)	0.5	0.5	0.9	1.1	0.8

Source: Dalal and Broacha

Rating	TP (Rs)	Up/Dn (%)
ACCUMULATE	554	8

Market data

Current price	Rs	511
Market Cap (Rs.Bn)	(Rs Bn)	903
Market Cap (US\$ Mn)	(US\$ Mn)	11,841
Face Value	Rs	1
52 Weeks High/Low	Rs	658.95 / 502
Average Daily Volume	('000)	3,960
BSE Code		500096
Bloomberg		DABUR.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	67.38	67.37
Public	32.62	32.63
Total	100	100

Source: Bloomberg

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Conference Call and Other Segmental KTA's

Dabur Q3FY22 Conference Call and Other Segmental KTA's

A. DOMESTIC Revenue +7.6% YoY growth @ Rs 25,180mn. 2 year CAGR +18.4%

1. Health Care (33.6% of Domestic Revenue) grew 7.4% YoY to Rs5810mn. 2year CAGR 14.9%

Health Supplements (18.1% of domestic revenue) grew by 9.7% as Honey and Glucose D registered double digit growth. 2year CAGR was +13.6%

Market Share for Chyawanprash +250bps and Honey +300bps

Digestive (6.1% of Domestic Revenue) +1.2% YoY was muted due to restrictions in Omicron wave. Limcola in Hajmola saw traction. 2 year CAGR stood at 10.2%

OTC and ethicals (9.4% of domestic revenue) +7.5% YoY, 2 year CAGR of 21.3%. Growth driven by strong performance of Honitus and Health Juices.

Covid contextual and immunity led products saw increased traction but not as earlier levels

2. 2.Home and Personal Care (47.8% of Domestic Revenue) +1.9% YoY to Rs 8280mn. 2 year CAGR 16.9%

Oral Care (18.2% of domestic revenue) +1.1% YoY. Toothpaste category de-grew 5% YoY but Dabur toothpaste grew 2.1%. Market share improved by 20 bps. Double digit growth for preceding 7 quarters

Hair Oil & Shampoo (20% of Domestic Revenue) +3% YoY growth.

Hair Oils category saw volume decline of 7% but Dabur recorded growth of 2.6% on high base of 24.6%.

Perfumed oils and coco oils both saw increase in MS. Hair oil MS increased by 70 bps

Shampoo growing 5.6% on high base of 33.4%. MS increased by 40 bps

Home Care (5.8% of domestic revenue) +11% YoY. 2 year CAGR at 17.4%

Double digit growth in Odomos and Sanifresh. Odonil MS +40 bps, Odomos MS +220 bps.

Skin Care (4% of Domestic Revenue) de-grew 10.6% YoY. 2 year CAGR at 11%

Performance affected due to Covid restrictions in Jan and Feb.

MS in Bleach cream segment +230 bps

3. Foods and Beverages (18.6% of Domestic Revenue) +33.5% YoY, 2 year CAGR at 30.5%.

Growth aided by 35% growth in beverages and 12.5% in foods

|| Market share of Real increased by 610 bps

Drinks and Milkshakes seeing good traction.

For the year, foods portfolio crossed 100 Crs in gross sales

Edible Oil portfolio expanded by adding Cold pressed groundnut and Virgin coconut oil

In-home and OOH registered strong growths.

B. International Business: +6.7% YoY to Rs 6924 mn || CC growth @ 10.7% overall, 5.3% in INR

- Constant currency YoY growth was as follows: Mena +0.9%, Egypt +12%, SSA +24.8%, Turkey (Hobby) +47.2%, Namaste +11.2% and SAARC +5.4%
- Turkish Lira depreciated almost 40%

Other KTA's and Outlook

- Company gained market share in 99% of portfolio
- E-commerce contribution was 6.5% of sales. Offline reach stood at 1.3 Mn outlets
- Rural business has seen some pressure; company believes it is due to cutbacks in promo offered earlier.
- Significant inflation observed, 16% for the quarter while full year was at 12.5%.
- Company has decided to continue taking price increases to protect gross margins. Hike would be possibly in the next couple of quarters.
- Tax rate close to 23% for the next year, Capex of 400 Crs for greenfield expansion estimated.
- Other expenses rose sharply due to freight, outsourcing and increase in travel (due to volume growth in foods business)
- New product development contributed 5% to sales (Vs 5.5% LY)

Quarterly Performance Analysis

Exhibit 1

Particulars	Q4FY22	Q4FY21	YoY (%)	Q3FY22	QoQ (%)
Revenue from Operations	25178.1	23367.9	7.7%	29417.5	-14.4%
Other Income	991.4	849.8	16.7%	967.4	2.5%
Total	26169.5	24217.7	8.1%	30384.9	-13.9%
COGS	13232.6	11978	10.5%	15195.8	-12.9%
% of sales	52.56%	51.26%		51.16%	
Employee Benefit Expense	2790.7	2683.6	4.0%	2730.2	2.2%
% of sales	11.08%	11.48%		9.57%	
Other Expenses	3115.8	2739.9	13.7%	2845.8	9.5%
% of sales	12.38%	11.73%		10.06%	
Advertisement and Promotional Expense	1503.3	1541.7	-2.5%	2370.7	-36.6%
% of sales	5.97%	6.60%		7.18%	
EBITDA excluding other income	4535.7	4424.7	2.5%	6275	-27.7%
EBIDTA MARGINS	18.01%	18.93%		21.33%	
EBITDA including other income	5527.1	5274.5	4.8%	7242.4	-23.7%
Depreciation	650.5	665.9	-2.3%	632.0	2.9%
EBIT	4876.6	4608.6	5.8%	6610.4	-26.2%
Finance costs	117.5	86.3	36.2%	110.8	6.0%
PBT Ex of JV and Exceptional items	4759.1	4522.3	5.2%	6499.6	-26.8%
profit/loss from JV	-12	-5.9	103.4%	-1.1	990.9%
exceptional items	850	0		0	
PBT	3897.1	4516.4	-13.7%	6498.5	-40.0%
Tax Expense	953.7	743.5	28.3%	1455	-34.5%
Tax Rate	24.5%	16.5%		22.4%	9.3%
PAT	2943.40	3772.90	-22.0%	5043.50	-41.6%
NPM	11.2%	15.6%		16.6%	
Minority Interest	1.20	-5.30	-122.6%	10.30	-88.3%
NPAT	2942.20	3778.20	-22.1%	5033.20	-41.5%
NPM	11.2%	15.6%		16.6%	-32.1%
Adjusted PAT	3584.19	3778.20	-5.1%	5033.20	-28.8%
Equity	1767.4	1767.4		1767.4	
Face Value	1	1		1	
Number of Shares	1767.9	1767.4		1767.9	
Basic EPS Calculated	2.03	2.14		2.85	

Source: Dalal & Broacha Research, Company

Valuation

Company is expanding into newer sub-segments and bifurcating existing products to increase TAM. We remain very positive on the current developments in the company and leadership under the current management.

At Rs 510, company trades 41.5x FY24EEPS of Rs 12.4. We downgrade our rating from "Buy" to "ACCUMULATE" with a target price of Rs 554. (45x FY24EEPS).

Financial

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	87,036	95,617	108,887	118,272	130,099	Net Profit	14,479	16,950	17,423	18,859	21,813
						Add: Depreciation	2,205	2,401	2,529	2,681	2,947
						Minority Interest	(30)	(17)	(31)	(33)	(36)
Cost of sales	69,112	75,590	86,349	93,600	102,183	Cash profits	16,654	19,334	19,921	21,507	24,723
						(Inc)/Dec in					
Operating Profit	17,924	20,027	22,538	24,672	27,917	-Sundry debtors	197	2,523	(846)	(749)	(752)
Depreciation	2,205	2,401	2,529	2,681	2,947	-Inventories	(790)	(3,547)	(1,771)	(2,214)	(2,224)
PBIT	15,719	17,626	20,009	21,991	24,970	-Loans/advances	(91)	8	369	-	-
Other income	3,053	3,253	3,932	3,229	4,073	CL & provisions	11	3,967	1,264	841	2,231
Interest	495	308	386	707	693	Other Assets	(5,568)	4,765	1,736	(406)	(425)
Profit before tax	18,277	20,570	23,555	24,512	28,350	Change in working capital	(6,242)	7,716	753	(2,528)	(1,170)
Exceptional items	1,000	-	850	-	-	CF from Oper. activities	10,412	27,050	20,674	18,979	23,553
share of profit/loss in JV	(0)	(10)	(18)	(20)	(22)						
PBT (Post Extra Ordinary)	17,276	20,560	22,687	24,492	28,328	CF from Inv. activities	(284)	(15,905)	(23,981)	(2,300)	(4,000)
Provision for tax	2,797	3,611	5,264	5,633	6,515						
Reported PAT	14,479	16,950	17,423	18,859	21,813	CF from Fin. activities	(5,287)	(5,969)	(4,282)	(7,697)	(8,875)
MI	30	17	31	33	36						
Adjusted PAT	15,288	16,933	18,045	18,826	21,777	Cash generated/(utilised)	4,841	5,177	(7,589)	8,982	10,678
						Cash at start of the year	3,273	8,114	13,290	5,701	14,684
						Cash at end of the year	8,114	13,290	5,701	14,684	25,362
							8,114	13,290	5,701	14,684	25,362

Balance Sheet	FY20	FY21	FY22	FY23E	FY24E	Ratios	FY20	FY21	FY22	FY23E	FY24E
Equity capital	1,767	1,767	1,768	1,768	1,768	OPM	21	21	21	21	21
Reserves	64,290	74,868	82,045	93,341	106,407	NPM	17	17	16	15	16
Net worth	66,058	76,635	83,813	95,108	108,175	Tax rate	15	18	22	23	23
Minority Interest	365	367	406	439	475	Growth Ratios (%)					
Non Current Liabilities	2,479	2,127	5,401	5,225	5,049	Net Sales	2	10	14	9	10
						Operating Profit	3	12	13	9	13
Current Liabilities	24,639	29,342	33,225	34,043	36,250	PBIT before other income	1	12	14	10	14
						PAT	2	11	7	4	16
CAPITAL EMPLOYED	93,540	108,471	122,845	134,815	149,948	Per Share (Rs.)					
						Net Earnings (EPS)	9	10	10.2	10.6	12.3
Non Current Assets	44,738	60,712	79,677	79,368	80,499	Cash Earnings (CPS)	7	8	9	9	11
						Dividend	3	3	5	6	4
Fixed Assets	20,117	20,037	21,752	21,370	22,424	Book Value	37	43	47	54	61
Non Current Investments	14,092	34,136	53,651	53,651	53,651	Free Cash Flow	5	9	6	7	8
Non Current tax assets	231	222	52	52	52						
Long Term Loans and Advances	246	225	-	-	-	Valuation Ratios					
Other NON Current Assets	6,175	2,226	1,221	1,293	1,371	P/E(x)	60	54	50	48	42
Goodwill	3,360	3,360	2,512	2,512	2,512	P/B(x)	14	12	11	10	8
Investment property	516	505	491	491	491	EV/EBIDTA(x)	51	45	41	37	32
						Div. Yield(%)	1	1	1	1	1
Current Assets	48,803	47,759	43,168	55,447	69,449	FCF Yield(%)	1	2	1	1	2
Current investments	13,910	7,460	8,546	8,546	8,546	Return Ratios (%)					
Inventories	13,796	17,343	19,114	21,328	23,552	ROE	23%	22%	22%	20%	20%
Trade Receivables	8,139	5,616	6,462	7,210	7,962	ROCE	27%	26%	25%	24%	25%
Cash and Bank Balances	8,114	13,290	5,701	14,684	25,362						
Short Term Loans and Advances	131	145	-	-	-						
Other Current Assets	4,713	3,906	3,346	3,680	4,027						
CAPITAL DEPLOYED	93,540	108,471	122,845	134,815	149,948						
ROA	16.3	15.6	14.7	14.0	14.5						

Source: Dalal & Broacha Research

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